

Nordstrom, Inc.**Notes to Consolidated Financial Statements**

Dollar and share amounts in millions except per share, per option and per unit amounts

NOTE 3: ACCOUNTS RECEIVABLE

The components of accounts receivable are as follows:

	January 31, 2015	February 1, 2014
Credit card receivables:		
Nordstrom Visa credit card receivables	\$1,310	\$1,316
Nordstrom private label credit card receivables	974	868
Total credit card receivables	2,284	2,184
Allowance for credit losses	(75)	(80)
Credit card receivables, net	2,209	2,104
Other accounts receivable ¹	97	73
Accounts receivable, net	\$2,306	\$2,177

¹ Other accounts receivable consist primarily of debit card receivables and third-party credit receivables.

Our credit card receivables are restricted under our securitization program. Our Series 2011-1 Class A Notes are secured by 100% of the Nordstrom private label credit card receivables and 90% of the Nordstrom Visa credit card receivables. As of January 31, 2015 and February 1, 2014, our restricted credit card receivables included more receivables than necessary to collateralize our outstanding secured debt and variable funding facilities. As such, they can be utilized to increase the current usage of our securitization program. Our credit card securitization agreements set a maximum percentage of receivables that can be associated with various receivable categories, such as employee or foreign receivables, and as of January 31, 2015 and February 1, 2014, these maximums were not exceeded.

Activity in the allowance for credit losses is as follows:

Fiscal year	2014	2013	2012
Allowance at beginning of year	\$80	\$85	\$115
Bad debt expense	41	52	42
Write-offs	(70)	(80)	(97)
Recoveries	24	23	25
Allowance at end of year	\$75	\$80	\$85

Under certain circumstances, we may make modifications to payment terms for a customer experiencing financial difficulties in an effort to help the customer avoid a charge-off or bankruptcy and to maximize our recovery of the outstanding balance. These modifications, which meet the accounting definition of troubled debt restructurings ("TDRs"), include reduced or waived fees and finance charges, and/or reduced minimum payments. Receivables classified as TDRs are as follows:

	January 31, 2015	February 1, 2014
Credit card receivables classified as TDRs	\$34	\$43
Percent of total credit card receivables classified as TDRs	1.5%	2.0%